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LINE 5

25-CIV-00194

DAVID BERNARD PARVIN VS. SANDEEP KHANNA, ET AL.

DAVID BERNARD PARVIN  
SANDEEP KHANNA

NELSON W GOODELL  
PRO SE

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DEMURRER OF DEFENDANT ASAP COLLECTIONS SERVICES TO THE THIRD AMENDED COMPLAINT

**TENTATIVE RULING:**

Defendant ASAP Collection Services' Demurrer to Third Amended Complaint is SUSTAINED IN PART with LEAVE TO AMEND.

Plaintiff David Bernard Parvin's Request for Judicial Notice is GRANTED as to the existence of the documents as records of the county recorder and of the Court but not the truth of any matter therein. (See *Ragland v. U.S. Bank National Assn.* (2012) 209 Cal.App.4th 182, 194; *Middlebrook-Anderson Co. v. Southwest Sav. & Loan Assn.* (1971) 18 Cal.App.3d 1023, 1038.)

A. Order Sealing Records

Portions of the Third Amended Complaint ("TAC") were sealed by court order on January 29, 2026. (Jan. 29, 2026 Order.) In support of its demurrer, Defendant ASAP Collection Services ("ASAP") submitted an unredacted copy of the TAC as exhibit A to the declaration of Peter C. Catalanotti in support of the demurrer.

In sealing portions of the TAC, the Court found that, according to the declaration of Parvin's counsel submitted in support of the motion to seal, paragraphs 23–24, 82–83, 85, and 93–96 of the TAC contain Parvin's private medical information. (See Aug. 7, 2025 Declaration of Nelson Goodell, ¶ 3.)

Medical records are to be considered "presumptively private," such that a party to moving to seal is "not required to state the obvious in a declaration, that [he or] she would be personally embarrassed to have [his or] her medical records copied into court records. The public, through its courts and legislatures, has recognized that medical records are constitutionally private and statutorily confidential." (*Oiye v. Fox* (2012) 211 Cal.App.4th 1036, 1070.) While the allegations are not medical records per se, the Court determined that the information set forth in the allegations is sufficiently detailed as to be analogous.

The evidence showed that there existed and continues to exist an overriding interest that overcomes the right of public access to the record, the interest supports sealing the record, and there is a substantial probability the interest will be prejudiced if the record is not sealed. The Court further ordered only those paragraphs containing the private medical condition to be

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sealed, finding that the proposed sealing was narrowly tailored and there appeared to be no less restrictive means to protect the information.

Based on the same evidence, the Court makes the same findings with respect to the copy of the TAC attached as exhibit A and orders paragraphs 23–24, 82–83, 85, and 93–96 of the exhibit placed under seal.

The clerk of the Court shall seal the unredacted copy of the TAC as exhibit A to the declaration of Peter C. Catalanotti in support of the demurrer. ASAP shall file an redacted copy of the declaration within five days after notice of entry of order.

**B. Legal Standard on Demurrer**

The purpose of a demurrer is to test the legal sufficiency of the facts alleged in the operative complaint to see whether they state a cause of action under any legal theory, as a matter of law. (*New Livable Cal. v. Association of Bay Area Gov'ts* (2020) 59 Cal.App.5th 709, 714–715; *Genis v. Schainbaum* (2021) 66 Cal.App.5th 1007, 1014.) The demurrer may be made to the entire complaint or to any of the cause of action therein. (Code Civ. Proc., § 430.50, subd. (a).)

To properly state a cause of action, a complaint must allege every element of that cause of action. (*Shaeffer v. Califia Farms, LLC* (2020) 44 Cal.App.5th 1125, 1134.) And to be sustained, a “demurrer must dispose of an entire cause of action.” (*Fremont Indemnity Co. v. Fremont General Corp.* (2007) 148 Cal.App.4th 97, 119.)

In determining whether a complaint states facts sufficient to constitute a cause of action, courts accept the factual allegations of the complaint and any matters of which judicial notice can be taken but disregards contentions, deductions, and conclusions. (Code Civ. Proc., § 430.30, subd. (a); *Richtek USA, Inc. v. uPI Semiconductor Corp.* (2015) 242 Cal.App.4th 651, 658.) “The complaint must be given a reasonable interpretation and read as a whole with its parts considered in their context.” (*Herman v. Los Angeles County Metropolitan Transportation Authority* (1999) 71 Cal.App.4th 819, 824.) Thus, the complaint is construed liberally (see Code Civ. Proc., § 452), and facts that may be inferred from those expressly alleged must also be accepted as true (*Cundiff v. GTE Cal., Inc.* (2002) 101 Cal.App.4th 1395, 1405).

**C. ASAP Cannot Be Dismissed from TAC**

In addition to demurring to each cause of action asserted against it in particular, ASAP demurs to the entire TAC and requests its dismissal. ASAP’s argument as to the whole TAC is that none of the causes of action state are well pleaded against it and that the TAC improperly groups the defendants together. The Court has considered ASAP’s arguments about ‘improper grouping’ and the sufficiency of the causes of action with respect to each particular count.

However, as for the request to dismiss the entire TAC: the TAC seeks, *inter alia*, to rescind a foreclosure sale in which ASAP served as trustee. A trustee is an indispensable party in an action to set aside a trustee’s deed upon sale. (*Washington Mutual Bank v. Blechman* (2007) 157

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Cal.App.4th 662, 668.) The TAC has survived demurrer from other defendants against whom this remedy is sought, and thus ASAP cannot be wholly dismissed from this action.

Accordingly, the demurrer to the entire TAC is OVERRULED.

D. 1st & 2nd Causes of Action: Violations of Civil Code sections 5650, 5690, & 5705

The first cause of action is for violations of Civil Code section 5705, which the TAC alleges prohibits a homeowners association board from initiating foreclosure on a lien that is not “validly recorded.” (Jan. 20, 2026 Third Amended Complaint (“TAC”), ¶ 134.) The cause of action is asserted against multiple defendants and ASAP complains of uncertainty, but, for ASAP’s part, the TAC clearly alleges ASAP “provided a notice of intent to lien [sic] Plaintiff’s unit with” a purportedly unlawful assessment as the agent of Defendant Pointe Pacific Homeowners’ Association (the “HOA”) in 2016, “did not validate the debt before imposing the lien,” and falsely claimed Parvin had violated the HOA’s covenants, conditions, and restrictions (*Id.*, at ¶ 59; see *id.*, at ¶ 144.)

The second cause of action is for violations of Civil Code sections 5650 and 5690, based on the HOA allegedly unlawfully imposing a special assessment on Parvin for attorney fees he did not allegedly owe, charging interest thereon, and failed to provide proper notice before doing so. (TAC, ¶¶ 152–158.) No further allegations regarding ASAP in particular are set forth under the count.

ASAP contends that the statute only applies to the governing board of the HOA here, such that ASAP—acting merely as the HOA’s agent and trustee of the nonjudicial foreclosure—cannot be held liable for any violation. Indeed, the HOA is alleged to have been acting as a foreclosure trustee and agent of the HOA “at all relevant times.” (TAC, ¶ 8.)

ASAP is correct that a foreclosure trustee’s duties are limited: “The scope and nature of the trustee’s duties are exclusively defined by the deed of trust and the governing statutes. No other common law duties exist.” (*Kachlon v. Markowitz* (2008) 168 Cal.App.4th 316, 335.) None of the statutes on which the first two causes of action set forth duties applicable to trustees.

The first two causes of action do not concern ASAP’s actions as a trustee—they are based on ASAP’s conduct as the HOA’s agent in imposing the assessment and related lien. But, while the only law cited by ASAP in support of their contention is case law concerning trustees’ duties in nonjudicial foreclosures, Civil Code sections 5650, 5690, and 5705 do not impose duties on anyone but homeowners associations and their boards. Thus, the torts asserted in the first two counts are those of the HOA rather than ASAP’s, and agents are not liable for the torts of their principals resulting solely in economic loss even if acting with full knowledge. (See *Weinbaum v. Goldfarb, Whitman & Cohen* (1996) 46 Cal.App.4th 1310, 1315; *Sanchez v. Lindsey Morden Claims Services, Inc.* (1999) 72 Cal.App.4th 249, 255; 3 Witkin, *Summary of California Law* (11th ed. 2026) Agency and Employment, § 210.) Even though the TAC alleges the violations caused Parvin emotional distress (TAC, ¶ 148), such an injury is not compensable here: “recovery is available only if the emotional distress arises out of the defendant’s breach of some

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other legal duty and the emotional distress is proximately caused by breach of the independent duty. Even then, with rare exceptions, a breach of the duty must threaten physical injury, not simply damage to property or financial interests.” (*Erlich v. Menezes* (1999) 21 Cal.4th 543, 555 [brackets omitted].)

Accordingly, the demurrer to the first two causes of action is SUSTAINED.

E. 3rd Cause of Action: Negligence

The third cause of action is for negligence, based on ASAP’s alleged duty to “ensure that the foreclosure was conducted fairly and in accordance with statutory procedures.” (TAC, ¶ 162.) What particular act or omission on ASAP’s part that constituted a breach of this duty, however, is not clearly set forth, though the TAC alleges that “Defendants” collectively overcharged Parvin, initiated foreclosure based on the unlawful charges, and did not provide notice to Parvin before doing so. (*Id.*, at ¶¶ 163–166.)

Thus, it appears ASAP’s liability is premised on the same conduct on which the prior two counts are based: violations of the Civil Code that the HOA may have committed but that ASAP could not commit as agent. Furthermore, to the extent a trustee “to ensure the sale is fairly conducted, according to proper procedures, to achieve the highest possible price” (*Residential Capital v. Cal–Western Reconveyance Corp.* (2003) 108 Cal.App.4th 807, 825), that conduct does not seem to implicate ASAP’s role as trustee. Furthermore, as mentioned above, the duties of a foreclosure trustee “are exclusively defined by the deed of trust and the governing statutes. No other common law duties exist.” (*Biancalana v. T.D. Service Co.* (2013) 56 Cal.4th 807, 819.) Parvin does not offer any particular statute imposing a duty on trustees that ASAP is supposed to have violated.

Accordingly, the demurrer to the third cause of action is SUSTAINED.

F. 4th Cause of Action: UCL Violations

The fourth cause of action is for violations of the Unfair Competition Law. According to ASAP, the fourth count “repackages the same theories asserted in [the] statutory and negligence claims” elsewhere in the TAC and that it should fail for the same reasons. (Apr. 23, 2026 Demurrer, p. 22, ll. 11–12.) As discussed below, some of those claims are sufficiently pleaded and thus constitute unlawful business practices to support the fourth count.

Accordingly, the demurrer to the fourth cause of action is OVERRULED.

G. 5th Cause of Action: Violation of Civil Code section 2924m

The fifth cause of action is for violations of Civil Code section 2924m, which sets certain requirements for the bidding process during a foreclosure sale. (See TAC, ¶¶ 205–211.) ASAP in particular is alleged to “willfully violated the statute by advertising the sale as being held in compliance with Civil Code section 2924m, which would have the effect of lowering the market

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price, only to then fail to actually comply with Civil Code section 2924m by offering the 15-day window required by the statute.” (*Id.*, at ¶ 215.)

ASAP does not dispute that the statute “imposes certain post-sale obligations on the trustee, including posting sale information within 48 hours, maintaining a phone line with sale details, and refraining from deeming the sale final until the statutory bidding windows close.” (Apr. 23, 2026 Demurrer, p. 16, ll. 15–17.) Instead, ASAP contends there are only “conclusory assertions” that ASAP violated the law. (*Id.*, at l. 18.) To the contrary, the TAC alleges that “[t]he nonjudicial foreclosure trustee declared Mr. Khanna the winning bidder on October 16, 2024 and, indeed, that document was recorded and mailed to the Plaintiff on or around October 23, 2024 stating that the sale was finalized that Mr. Khanna had purchased it. This document was recorded 7 days prior to the fourteen-day period mandated by Civil Code ... .” (TAC, ¶ 213.) This is not a mere conclusion for purposes of a demurrer.

ASAP also contends that the TAC does not allege any harm resulting from a violation. This is equally wrong; the TAC alleges in the same paragraph that the violation prevented “any other potential bidders to exceed Mr. Khanna’s bid, which would have resulted in Plaintiff receiving additional excess proceeds.” (*Ibid.*; see also *id.*, at ¶ 216 [“any other prospective owner-occupants were prevented from bidding, and those excess proceeds would have resulted in Plaintiff having additional proceeds as a result of the sale”].) Parvin is not required to allege any particular person attempted to bid and was prevented from doing so.

Accordingly, the demurrer to the fifth cause of action is OVERRULED.

#### H. 6th Cause of Action: Slander of Title

The sixth cause of action is for slander of title, based on the recording of the notices, certificates, and deeds leading up to and after the foreclosure sale. (TAC, ¶¶ 220–250.) ASAP’s liability is premised on two categories of acts: (1) the recording of the notice of default and similar documents despite the purported invalidity of the underlying lien, and (2) the recording of the certificate of sale and issuance of the deed despite the purported noncompliance with Civil Code section 2924m. (*Ibid.*)

Only one category need suffice to defeat demurrer, though ASAP contends that neither set of allegations is sufficient to plead slander of title. With respect to the second category, ASAP repeats the same argument, discussed above, that the TAC does not allege facts showing it violated section Civil Code section 2924m. That argument lacks merit for the same reasons.

ASAP also contends that the TAC does not sufficiently plead malice, which is necessary to defeat the common interest privilege that a trustee otherwise has in recording documents in the foreclosure process. (See Civ. Code, § 2924, subd. (d); *Schep v. Capital One, N.A.* (2017) 12 Cal.App.5th 1331, 1336; *Kaur v. Dual Arch Internat., Inc.* (2024) 107 Cal.App.5th 359, 368.) Malice for such purpose may be pleaded by alleging facts “showing that the defendant lacked reasonable grounds for belief in the truth of the publication and acted in reckless disregard of the plaintiff’s rights.” (*King v. U.S. Bank National Assn.* (2020) 53 Cal.App.5th 675, 701.)

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The TAC alleges that the trustee's deed upon sale recited that the foreclosure sale had been conducted in compliance with Civil Code section 2924m when ASAP had in fact not satisfied all the statutory commands. (TAC, ¶¶ 215, 237.) If ASAP did not comply, then it had no reasonable grounds for believing that it had waited sufficient time for completion of the bidding process or that it made the required postings and thus acted with reckless disregard in issuing the deed.

Accordingly, the demurrer to the sixth cause of action is OVERRULED.

I. 8th Cause of Action: Wrongful Foreclosure

The eighth cause of action is for wrongful foreclosure, based on the foreclosure premised on an allegedly invalid lien and the failure to comply with Civil Code section 2924m during the bidding process. (TAC, ¶¶ 265–285.) Like the preceding count, the eighth cause of action thus relies on two separate grounds.

And, ASAP, again, only argues that the TAC has not alleged facts showing the sale was conducted unlawfully for lack of compliance with Civil Code section 2924m or that ASAP had knowledge of its lack of compliance. But, as discussed above, the TAC does sufficiently allege facts showing both.

Accordingly, the demurrer to the eighth cause of action is OVERRULED.

J. 9th Cause of Action: Violation of the RFDCPA

The ninth cause of action is for violation of the Rosenthal Fair Debt Collection Practices Act ("RFDCPA"). (TAC, ¶¶ 292–308.) The RFDCPA incorporates federal law, which prohibits a "debt collector" from using "any false, deceptive, or misleading representation or means in connection with the collection of any debt." (15 U.S.C. § 1692e; see Civ. Code, § 1788.17.) The ninth count is based on the notices and communications sent by ASAP to Parvin containing the allegedly invalid debt claimed by the HOA. (TAC, ¶¶ 297, 299.)

ASAP contends that a collections agent who merely relays figures from the creditor without knowledge of falsity or intent to deceive is not liable under the RFDCPA, citing no authority for this proposition. The federal Fair Debt Collection Practices Act incorporated by the RFDCPA is generally not based on any mens rea or scienter but instead strict liability. (*Kaiser v. Cascade Capital, LLC* (9th Cir. 2021) 989 F.3d 1127, 1135.) A debt collector may indeed avoid liability by showing its false or misleading statement "was not intentional and resulted from a bona fide error notwithstanding the maintenance of procedures reasonably adapted to avoid any such error," but that is an affirmative defense on which the debt collector bears the burden of proof "by a preponderance of evidence." (15 U.S.C. § 1692k(c).) And the facts supporting such a showing do not appear on the face of the TAC.

Accordingly, the demurrer to the ninth cause of action is OVERRULED.

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K. Leave to Amend

Parvin has not yet had the opportunity to address the particular defects in the first three causes of action identified herein regarding ASAP's liability in particular after a ruling sustaining a demurrer. Accordingly, leave to amend is GRANTED as a matter of fairness pursuant to Parvin's request. (See *City of Stockton v. Superior Court* (2007) 42 Cal.4th 730, 747.) Plaintiff has ten (10) days from service of written notice of entry of order to file and serve an amended complaint. (Cal. Rules of Court, rule 3.1320(g); Code Civ. Proc. § 472b.)

If the tentative ruling is uncontested, it shall become the order of the Court. Thereafter, counsel for Defendant ASAP Collection Services shall prepare a written order consistent with the Court's ruling for the Court's signature, pursuant to California Rules of Court, rule 3.1312, and provide written notice of the ruling to all parties who have appeared in the action, as required by law and the California Rules of Court.

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LINE 6

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DEFENDANT ASAP COLLECTIONS SERVICES MOTION TO STRIKE PORTIONS OF PLAINTIFF'S THIRD AMENDED COMPLAINT

**TENTATIVE RULING:**

Defendant ASAP Collection Services' Motion to Strike Portions of Plaintiff David Bernard Parvin's Third Amended Complaint is DENIED or is MOOT.

Plaintiff David Bernard Parvin's Request for Judicial Notice is GRANTED as to the existence and legal effect of the documents as records of the county recorder and of the Court but not the truth of any matter therein. (See *Ragland v. U.S. Bank National Assn.* (2012) 209 Cal.App.4th 182, 194; *Middlebrook-Anderson Co. v. Southwest Sav. & Loan Assn.* (1971) 18 Cal.App.3d 1023, 1038.)

A. Order Sealing Records

Portions of the Third Amended Complaint ("TAC") were sealed by court order on January 29, 2026. (Jan. 29, 2026 Order.) In support of its motion to strike, Defendant ASAP Collection Services ("ASAP") submitted an unredacted copy of the TAC as exhibit A to the declaration of Peter C. Catalanotti in support of the demurrer.

In sealing portions of the TAC, the Court found that, according to the declaration of Parvin's counsel submitted in support of the motion to seal, paragraphs 23–24, 82–83, 85, and 93–96 of the TAC contain Parvin's private medical information. (See Aug. 7, 2025 Declaration of Nelson Goodell, ¶ 3.)

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The evidence showed that there existed and continues to exist an overriding interest that overcomes the right of public access to the record, the interest supports sealing the record, and there is a substantial probability the interest will be prejudiced if the record is not sealed. The

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